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THE AFRICAN DEVELOPMENT BANK
THE AFRICAN DEVELOPEMNT FUND



PROJECT APPRAISAL REPORT
Building Resilience of Youth and Women Entrepreneurs in Disaster Affected Areas

ETHIOPIA
UA 15.00 MILLION

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AFRICAN DEVELOPMENT BANK GROUP



ETHIOPIA

BUILDING RESILIENCE OF YOUTH AND WOMEN ENTREPRENEURS IN DISASTER AFFECTED AREAS

APPRAISAL REPORT

RDGE/AHHD DEPARTMENTS

October 2025

CURRENCY EQUIVALENTS

Exchange rate effective 6/5/2025

Currency Unit1	Equivalent
1 Unit of Account	182.61 ETB
1 United States Dollar	134.60 ETB
1 Unit of Account	1.36 USD

FISCAL YEAR

08 July – 07 July – Ethiopia

WEIGHTS AND MEASURES

1 Metric ton	2,204.62 Pounds (lbs)
1 Kilogramme (kg)	2.20462 lbs
1 Meter (m)	3.28 Feet (ft)
1 Millimetre (mm)	0.03937 Inch (“)
1 Kilometre (km)	0.62 Mile
1 Hectare (ha)	2.471 Acres

List of Acronyms and Abbreviations

AfDB	African Development Bank
AMD4J	Agri-MSMEs Development for Jobs
BDS	Business Development Services
CSS	Climate Safeguards System
CRFA	Country Resilience and Fragility Assessment
CSP	Country Strategy Paper
DBE	Development Bank of Ethiopia
DPG	Development Partners Group
EDI	Entrepreneurship Development Institute
ELMIS	Ethiopian Labor Market Information System
ESO	Enterprises Support Organization
GCA	Global Centre on Adaptation
GIZ	German Corporation for International Cooperation)
GRM	Grievance Redress Mechanism
IAIPSP	Integrated Agro-industrial parks support project
IDP	Internally Displaced People
JfYA	Jobs for Youth in Africa
MoF	Ministry of Finance
MoLS	Ministry of Labour and Skills
MSE	Micro and Small Enterprises
OFAG	Office of the Federal Auditor-General
PESAPYE	Productivity Enhancement Support for the Integrated Agro-Industrial Parks and Youth Employment
PMT	Project Management Team
PIU	Project Implementation Team
TSF	Transition Support Facility
QPR	Quarterly Progress Report
SDG	Sustainable Development Goals
SEPA	Skills for Employability and Productivity in Africa
TVET	Technical and Vocational Education and Training
TYP	Ten-Year Development Plan
UA	Unit of Account
UNDP	United Nations Development Program
YEIB	Youth Entrepreneurship Investment Bank

PROJECT INFORMATION SHEET

CLIENT INFORMATION

Project Name	Building Resilience of Youth and Women Entrepreneurs in Disaster Affected Areas (BReYWE)
Sector	Social
Grant Recipient	Federal Democratic Republic of Ethiopia
Project Instrument	TSF Pillar 1 (Prevention Envelope)
Executing Agency	Ministry of Labour and Skills

COUNTRY AND STRATEGIC CONTEXT

Country Strategy Paper Period:	2023-2027
Country Strategy Paper Priorities supported by Project:	Priority I: Strengthening economic and financial governance to enhance resilience, improve service delivery, and foster private sector growth; Strategic outcome 1 - Efficiency and effectiveness of economic and financial services are improved to promote inclusiveness, resilience, private sector growth, economic opportunities, and job creation.
Government Program (PRSP, NDP or equivalent):	Ten-Year Development Plan (TYDP) 2021 - 2030
Project classification:	High 5 Priority Area(s) and sub-theme(s): Industrialize Africa: <i>Sub-theme: 3.5 Micro, Small and Medium Enterprise support</i> Improve the quality of life for the people of Africa: <i>Sub-theme: 5.6 Investments for job creation.</i>
	SDG 5: Gender Equality - Achieve gender equality and employment for all women and girls. SDG 8: Decent Work and Economic Growth - Promote sustained, inclusive, and sustainable economic growth, full and productive employment, and decent work for all.
	Strategic Selectivity: Priority: 3.2 Support enterprise development; 5.1 Accelerate access to finance for women and youth; 5.2 Build skills for decent jobs and expand economic opportunities for youth.
Country Performance and Institutional Assessment²:	4.28 (2023)
Projects at Risk in the country portfolio:	9% of red flagged operations, 26% on close watch (June 2025)
Eligible allocation balance at time of PCN³	PBA : UA 72.15 ; TSF : UA15 million

PROJECT CATEGORISATION

Environmental and Social Risk Categorization	Category 3, March 2025
Does the project involve involuntary resettlement?	No
Climate Safeguards Categorization:	2 and Paris Aligned
Fragility Lens Assessment:	Yes
Gender Marker System Categorization:	1

ADF/ADB

Source	Financing Instrument	
	UA	
African Development Bank	15.00	TSF Pillar 1 (Prevention Envelope)
Government Counterpart Contribution:	1.67	Cash/ In Kind
Total Project Cost:	16.67	

PROJECT DEVELOPMENT OBJECTIVE AND COMPONENTS

Project Development Objective:	Improve the recovery and continuity of youth and women led micro and small businesses in disaster impacted areas of Ethiopia for sustainable livelihood and peace
Project Components:	Component 1: Access to Finance (UA 9.08 million)
	Component 2: Enhanced Entrepreneurship Ecosystem Support & Business Development Services Delivery (BDS) (UA 3.96 million)
	Component 3: Support the Operationalization of Policy Reforms (UA 1.43 million)
	Component 4: Project Management (UA1.46 million)

PROJECT PROCESSING SCHEDULE TO BOARD APPROVAL

PCN Approval:	May 20, 2025
Appraisal Mission:	May 23-30, 2025
Planned Board Presentation:	October 23, 2025
Effectiveness:	November 15, 2025
Project Implementation Period:	December 2025 – December 2029
Planned Mid-term Review:	October 2027
Project Closing Date:	30 December 2029

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1. STRATEGIC CONTEXT

A. Country Context, Strategy and Objectives

1. **Ethiopia, the second most populous country in Africa (109.4 million population^{4,5}), has prioritized the creation of sustainable jobs for its young and growing population (70% under the age of 29) as a poverty reduction and inclusive growth strategy.** While Ethiopia had a strong economic growth in the last decades, the average per capita income remains low at US\$ 1,937 (2024)⁶. The country has a Gini Index of 31.14⁷ in 2021 indicating a high level of income inequality, due to unequal access to social services and gaps in skills. In 2023, Ethiopia recorded a Human Development Index (HDI) value of 0.497, placing it in the lower human development category and ranking it 180th out of 193 countries⁸, thus, underlining the social development challenges in the country. Ethiopia is also ranked 150th out of 187 countries in the 2022 Global Vulnerability Index⁹. It is highly vulnerable to climate-related hazards, including droughts and floods.

2. **Ethiopia's Ten-Year Development Plan (TYDP) (2021-2030) reflects the country's commitment to ensuring equitable economic growth and enhancing participation of women and youth in the economy.** Key targets include increasing the proportion of women engaged in and benefiting from microenterprises from 41% to 50%, raising the share of women accessing microfinance for income-generating activities from 33% to 55%, and expanding access to credit for youth from 25% to 50%. It aims to reach a lower-middle-income status by 2030, and to reduce the poverty level to 7% by 2029/30 from 27% (2024), anchored on a projected annual average Gross Domestic Product (GDP) growth rate of 10% from 2020/21 to 2029/30¹⁰. Ethiopia has also set a goal of creating 20 million quality jobs between 2021 and 2030, including from the job rich sectors of Agriculture, services and manufacturing¹¹. The priority value chains identified due to, among others, their job creation potential include fruits and vegetables, coffee, oilseeds, pulses, grains, and livestock (meat and dairy). Ethiopia's development trajectory was derailed when, following the COVID-19 pandemic, conflict in the north broke out in 2020, resulting in unprecedented levels of damage and economic and physical displacement.

3. **The proposed resilience building project targeting disaster impacted youth and women led enterprises is designed to contribute to the realization of the country's development strategies** including the TYDP, the 2nd Homegrown Economic Reform (HGER) 2023 and the Ministry of Labour and Skills (MoLS) Ten Year Plan (2020 – 2030). The project will directly contribute to the operationalization of Ethiopia's Resilient Recovery and Reconstruction Planning Framework (2023–2028) which recognizes that an inclusive growth and jobs agenda are integral to sustaining enduring peace and stability in Ethiopia.

4. **The project addresses Priority Area 1 of the Ethiopia Country Strategy Paper (2023 – 2027) on “Improved economic and financial governance for increased resilience, better**

⁴ Ethiopian Statistical Service (ESS), July 2024.

⁵ According to the World Bank the estimate is 126.5 million in 2023.

⁶ Ethiopia: Ministry of planning and Development

⁷ World Bank, 2025. Poverty and Inequality Platform. <https://pip.worldbank.org/#>

⁸ UNDP, 2025. Human Development Index. <https://ourworldindata.org/grapher/human-development-index?tab=chart&country=~ETH>

⁹ University of Notre Dame, 20222022 Global Vulnerability Index <https://gain-new.crc.nd.edu/ranking/vulnerability>

¹⁰ Ten Year Development Plan – a Pathway to Prosperity (2021 – 2030)

¹¹ The number of jobs created in 2022/23 was 3.50 million (37% for women) with the service sector as the higher contributor (40%). In 2023/24 and 2024/25 3.79 million and 4.38 million jobs were created respectively (36% and 41% for women) and with agriculture sector contributing 43%.

service delivery and private sector growth”, The project is also aligned to the Bank’s Ten-Year Strategy (2024-2033), and two of the High 5 priorities, namely, Improve the Quality of Life of the People of Africa and Industrialize Africa. It’s also aligned to the following Bank strategies: (i) Strategy for Addressing Fragility and Building Resilience in Africa (2022–2026); (ii) Skills and Jobs Action Plan (2025 – 2032); (iii) Gender Strategy (2021–2025); (iv) Climate Change and Green Growth Action Plan (2021–2025); and (v) the Private Sector Development Strategy (2021 – 2025).

5. The project is also linked to the operationalization of African Union (AU) Agenda 2063 Goal (1): A High Standard of Living, Quality of Life and Well-Being for All Citizens and Goal (17): Full Gender Equality in All Spheres of Life. The project is expected to contribute to the achievement of SDGs 1 (End poverty in all its forms everywhere); SDG 5 (Gender Equality); SDG 8 (Decent Work and Economic Growth); and SDG 13 (Climate Action). The project will also contribute to the operationalization of the Bank’s Selectivity Framework through its focus on enterprise development support, enhanced access to finance for women and youth, and expanding economic opportunities for youth and to the ADF 16 strategic priorities relating to fragility through the proposed interventions that address the root causes of instability (youth unemployment) and build resilience. It also contributes to the realization of AFAWA’s objective on bridging the financing gap facing women in Africa and aligns to the Bank’s Horn of Africa Initiative (HoAI) in terms of its focus on enhancing resilience to foster peace and stability.

B. Sector and Institutional Context

6. **Ethiopia is emerging from a devastating period of internal conflict which has resulted in unprecedented levels of damage and destruction.** The total damages caused by conflict to infrastructure in the social protection and jobs sectors are estimated at US\$117.88 million, while the total damages exceed US\$22.6 billion with economic losses estimated at US\$6 billion and an estimated 4.2 million people displaced across the country due the combined burden of conflict and climate change¹². Four of the five regions targeted by this project, namely Afar, Amhara, Tigray, and Benishangul Gumuz are among the hardest hit by conflict, while Somali region has been experiencing increasingly more frequent and intense flooding and drought (Map in Annex 1-5). Tigray, Amhara and Afar regions were the epicentres of the conflict in the north.

7. **The impact of internal conflict and climate change on entrepreneurs and their livelihoods has been severe.** Tigray and Amhara regions alone reported 95,000 Micro, Small and Medium Enterprises (MSMEs) impacted by the conflict and about 122 Job Centers providing business support were fully destroyed¹³. According to the Centre for International Private Enterprise (CIPE), Small and Medium Enterprises (MSME) operators in Amhara, Tigray and Afar reported that they have either reduced their operations significantly (by 60-80%) or shut down their businesses. Local government structures engaged in business development support and business membership organizations (BMOs) lack the institutional and financial resources to provide business recovery and redevelopment support. The climate-induced challenges in Somali Region also disproportionately impacted youth and women.

8. **While the conflict in the northern part of the country ended, a massive effort is required to ensure that communities and local economies have recovered, further cycle of violence is prevented and lasting peace achieved.** Following the Peace Agreement (2022), it is estimated that 3.3 million IDPs have returned, and various recovery and rehabilitation interventions are underway. However, more needs to be done to break the cycle of violence, The overall

¹² IOM Ethiopia’s National Displacement Report 16, August 2023

livelihood disruption, the spike in youth unemployment¹⁴ limited access to economic opportunities and the lack of confidence in local economic environment is likely to drive the youth to adopt risky livelihood options, including illegal migration, banditry as well as recruitment into non-state armed groups thereby reinforcing cycles of conflict. Thus, there is a need for measures for instilling hope and confidence in the youth regarding their future economic prospects within their own communities and decreasing the likelihood of them resorting to violence to achieve their economic aspirations¹⁵.

9. Youth unemployment¹⁶ is a key driver of social and political upheavals in Ethiopia with over 2 million young people entering the labour market each year. Although the overall unemployment rate stands at 8%, youth unemployment is significantly higher at 23.1% and 12% in urban and rural areas respectively as of 2022. There is higher male and rural underemployment rates than female and urban¹⁷. Most importantly, the youth Not in Employment, Education, or Training (NEET) rate was 19.3% in 2021, with a significant gender gap, as young women's NEET rate (27.9%) is nearly three times that of young men's (9.8%). A general imbalance between the skills of job seekers and the demands of employers, contributes to high unemployment and underemployment¹⁸ even among graduates. The livelihood disruption, job losses and reduced access to livelihood opportunities which result from conflict can create a cycle where economic hardship, particularly among the youth, fuels the recurrence of conflict, which in turn further undermines livelihoods. Due to the country's low adaptive capacity, climate change (mainly floods and droughts) has also exacerbated existing vulnerabilities and compromised livelihoods¹⁹.

10. Youth and women entrepreneurs in Ethiopia face multiple constraints, including limited access to finance, entrepreneurship support services, markets, infrastructure, and business development opportunities and tend to be in the informal sector. The informal sector is estimated to contribute about 38.6% of Ethiopia's GDP and over 90% of the workforce in the country and women comprise a larger proportion of informal economic activities²⁰. While access to affordable finance remains a significant challenge, entrepreneurs' ability to grow and sustain businesses is also hindered by weak business skills, low financial literacy, and limited market access. In 2020/21, lending to SMEs represented only 2% of total loans in Ethiopia, compared to 16% in other low-income countries, thereby contributing to an estimated SME financing gap of US\$3.9 billion²¹. **In the aftermath of conflict and drought/flood, enterprises struggle to recover their businesses.** However, lack of access to recovery capital has been a major challenge for youth and women entrepreneurs²².

11. Ethiopia is implementing a set of policy reforms to boost entrepreneurship and the startup ecosystem, including simplified licensing, foreign exchange freedom, and innovative financing options which will contribute to the effective implementation of the project. The overall economic reform activities the Government is engaged in with the support of development partners is also expected to create sufficient fiscal space to enable an effective recovery and reconstruction process in the disaster affected areas. Sector policy measures

¹⁴ In Tigray only 18% of surveyed youth are employed, 64% of whom are self-employed and 81% of youths reported as being unemployed. African Journal of Political Science and International Relations, 2024.

¹⁵ Ditto

¹⁶ The rate of youth unemployment in February 2021 is 15.9 % for males and 28.8 percent females for urban and 7.4% (male) and 16.4%, (female) for rural areas ETHIOPIA: LABOUR FORCE AND MIGRATION SURVEY, 2021, Central Statistics Agency, 2021

¹⁷ While there is a dearth of data on underemployment level, anecdotal information suggests that 18.3% of the workforce in Ethiopia is considered underemployed. Institute of Development Studies, DFID, 2016,

¹⁸ The employment rate for university graduates is estimated to be about 58% only. Policy Studies Institute, Education to Work Transition of Graduates in Ethiopia: Key Challenges and Insights for Policy Options, 2023

¹⁹ Including crop and livestock losses, food insecurity, and displacement

²⁰ Urban Informal Business Enterprises in Ethiopia: Stylized facts, gender and taxation, World Bank, 2023.

²¹ Ethiopia small and medium enterprises finance project, World Bank, 2021

²² The Impact of the War in Northern Ethiopia on Micro, Small and Medium-Sized Enterprises (MSMEs), CIPE (Center for International Private Enterprise), 2022

supporting entrepreneurs include the National Rural Job Opportunity Creation Strategy, Ethiopia manufacturing SME development roadmap (2023), National Entrepreneurship Strategy (NES) (2020-2025) and Digital Ethiopia 2025.

12. The proposed project builds on the Bank's financed (US\$ 43 million ADF) *Ethiopia: Agri MSMEs Development for Jobs (AMD4J)* project and will leverage its various instruments, including its gender-sensitive training packages, the toolkit on climate adaptation for green jobs creation and Youth Entrepreneurship Investment Bank (YEIB). AMD4J has a national coverage and prioritizes the agriculture sector while the proposed project is specifically designed to support disaster-impacted youth and women-led MSEs, in any sector, in the five most conflict and climate affected regions of Ethiopia with a strong focus on livelihood restoration and peace building. The project will also be coordinated with the EU-GIZ financed project '*Support for the Recovery of MSMEs in Post-Conflict Areas and community*' which is being implemented in Tigray, Afar and Amhara regions but in different locations from those that will be targeted by BReYWE to avoid geographic overlaps.

C. Rationale for Bank's Involvement

13. Anchored on the recognition of the importance of effective disaster prevention and response for a sustainable and inclusive development, the Bank has the comparative advantage in the implementation of interventions tailored to the specific challenges and vulnerabilities of post disaster settings. The Bank's unique expertise in delivering on the Humanitarian-Development-Peace (HDP) nexus and its strong track record in delivering on the economic empowerment of youth and women not just as an economic imperative but also as a pathway to stability and lasting peace will be instrumental for the success of the project.

14. The project will play a vital role in addressing the critical resource gap in conflict prevention and resilience-building efforts by specifically targeting areas most affected by conflict and climate-induced disasters in the country. While the Government of Ethiopia is strongly committed to using federal and regional budgets as the main source of financing for the implementation of *Ethiopia Resilient Recovery and Reconstruction Planning Framework (2023–28)*, there is a need to mobilize additional resources to address the estimated recovery and reconstruction cost of more than US\$20 billion over five years.

15. The proposed Project will complement existing projects supported by the Bank in Ethiopia including *Ethiopia Climate Resilient Wheat Value Chain Development (CREW)* and *Productivity Enhancement Support to the Integrated Agro-Industrial Parks and Youth Employment (PESAPYE)* through the shared objective of Jobs creation through support to youth and women led enterprises. The project is particularly designed to build on Agri-MSMEs Development for Jobs (AMD4J) approved in 2024 to address the urgent needs of disaster impacted youth and women led MSEs for finance and business skills for the recovery and continuity of their businesses.

D. Development Partners Coordination

16. Development aid is coordinated by the Ministry of Finance through the Development Partners Group (DPG) which is a collective of 35 bilateral and multilateral entities committed to the advancement of development in Ethiopia. AfDB has also been an active participant in the national peace and recovery support dialogue. Key stakeholders in the sector include the World Bank, European Union (EU), United Nations Development Programme (UNDP), International Fund for Agricultural Development (IFAD), GIZ/KfW, European Investment Bank (EIB), and the MasterCard Foundation. The Private Sector Development Subgroup of the Development Partners Group (DPG) co-ordinates support provided by development partners for MSME development.

17. **The project will complement the efforts of Development Partners working on the operationalization of the Ethiopia's Resilient Recovery and Reconstruction Planning Framework in the target areas.** As part of the project design, a series of consultations were undertaken with these development partners, including the EU, UNDP, GIZ/KFW and World Bank on possible co-financing to expand the scope of the project and maximize impact. As DPs have already committed resources to their own projects, parallel financing to the sector through projects with similar/complementary objectives exists. These projects include *Support for the Recovery of Micro Small and Medium Enterprises (MSMEs) in Post-Conflict Areas* (EU and Germany), *Micro, Small and Medium Enterprises Resilience (MESMER)* (MasterCard Foundation) and *Response - Recovery - Resilience for Conflict-Affected Communities in Ethiopia* (World Bank) (see details in Annex 1-3). Collaboration with the International Organization for Migration (IOM) will assist in the effective use of lessons learned on enhancing economic impact for disaster impacted populations. Among key opportunities for co-ordination identified are i) the use by the project of the co-ordination set up of development partners in the five targeted regions and ii) alignment in beneficiary targeting so that entrepreneurs provided with BDS and Psych-social support by Other Development Partners can potentially access the credit service of the project.

2. PROJECT DESCRIPTION

A. Project Development Objective

18. **The Project Development Objective is to improve the recovery and continuity of youth and women led micro and small businesses in disaster impacted areas of Ethiopia for sustainable livelihood and peace** ²³. The specific objectives are to: i) promote jobs recovery in the target areas to curb illegal migration and prevent conflicts fuelled by youth unemployment and ii) support the recovery and resilience of youth and women led micro and small enterprises to create sustainable livelihoods that offer young people hope, stability, and a future within their own communities. Using a holistic approach, the project will integrate financial and non-financial business development resources with ecosystem support to address both immediate operational challenges and policy-level barriers to disaster impacted youth and women entrepreneurs in the target areas.

B. Theory of Change

19. **The project theory of change is anchored on the premise that if provided with critically and urgently needed credit and business skills support, youth and women led MSEs in post-disaster settings can recover and grow; promote job preservation, foster resilient livelihoods, and contribute to conflict prevention and sustainable peace.** The project links recovery efforts with long-term economic stability and thus addresses conflict prevention agenda through i) its focus on economic drivers of fragility (jobs lessness, livelihood disruption), ii) prioritization of conflict

Box 1

Lessons from Ethiopia

The Women Entrepreneurship Development Project (WEDP) of the World Bank introduced a dedicated line of credit, with the Development Bank of Ethiopia (DBE) serving as the wholesaler and microfinance institutions (MFIs) acting as retailers. This assistance enabled MFIs to build high-quality MSE loan portfolios using proven lending methodologies adapted from successful MFI expansion strategies. Loan disbursement started in January 2014 through 12 partner MFIs across six targeted cities. By the end of that year, WEDP had disbursed ETB 456.6 million (USD 23.3 million) to 1,863 women entrepreneurs, representing over half of the total line of credit. The beneficiaries included a diverse group of business owners, from retail shops and restaurants to beauty salons. Notably, 66 percent of borrowers were accessing formal credit for the first time, and yet the project achieved a strong repayment rate of 99.1 percent, highlighting the effectiveness and sustainability of the approach.

As well, the access-to-finance component of the MasterCard funded MESMER program plans to disburse its total budget of \$48.9 million via partner micro financial institutions, primarily focusing on conflict-affected areas and on women and young people.

²³ According to Ethiopia's National Micro and Small Enterprise (MSE) Development Strategy (2011), micro enterprises are defined as businesses employing between 1 and 5 individuals, while small enterprises are those with 6 to 30 employees.

impacted target group susceptible for further cycle of violence and iii) specifically targeting disaster impacted areas where the potential for the recurrence/resumption of disaster is high. This will contribute to preventing economic, social and political instability that fuels further crisis.

20. In Ethiopia, youth and women entrepreneurs in disaster-affected areas face multiple challenges, including limited access to finance, weak business development services, inadequate market linkages, and policy gaps that hinder enterprise growth and job creation. To address these challenges, the project's interventions focus on financial inclusion, entrepreneurship capacity building, including climate-smart and disaster-resilient business training, business development services (BDS), and operationalization of policy reforms.

21. **The expected results include the following outcomes and outputs. Project outcomes of the intervention include:** (i) job recovery and enterprise resilience strengthened, leading to 9,000 recovered jobs; (ii) 3,000 youth and women led MSEs supported with access to finance; (iii) 4500 (10% youth and women IDPs/Returnees; 60% female; 40% male youth) people reached by the project. **Expected outputs** are: (i) USD\$12 million in credit disbursed to support micro and small enterprises; (ii) 4,500 youth and women receive tailored BDS training including gender and climate adaptation toolkits; (iii) 4,500 youth and women entrepreneurs benefit from mentoring and coaching; (iv) 200 private sector BDS providers trained; (v) 12 Job Centers fully operational with digital tools; (vi) 7 business forums organized to facilitate market linkages; (vii) 3 policy measures operationalized to enhance disaster-responsive entrepreneurship support.

22. The **underlying assumptions** include i) target MSEs will use the project support for jobs recovery investment; ii) the security situation in the target regions of Afar, Amhara, Tigray, Benishangul Gumuz and Somali will remain stable and operational access to target areas is assured; iii) at macro level conducive financial and political governance environment exists; iv) the government will also invests in other critical areas of the ecosystem, including financing the reconstruction of infrastructure.

C. Project Components

23. The project is structured around four components designed to support the recovery and growth of disaster impacted youth and women micro and small enterprises and strengthen the entrepreneurship eco-system in the target areas.

24. **Component 1: Access to Finance (UA 9.08 million)** – Building on a financing modality previously used by the Bank and other development partners, DBE will channel funds to selected MFIs, which will be selected based on a set of criteria, such as track record, operational presence, and availability of tailored financial products, who will on-lend to targeted MSEs using a group lending approach that does not require asset-based collateral²⁴(see Box 1 with experience of the model). The project will also co-ordinate beneficiaries' access to loans with the BDS service for all-rounded business service support and to ensure the appropriate use of the loan by the entrepreneurs²⁵.

25. **Component 2: Enhanced Entrepreneurship Ecosystem Support & Business Development Services Delivery (BDS) (UA 3.96 million)** – This component will support the provision of timely, relevant, and coordinated services to target MSEs across the business lifecycle in a post-disaster business environment. It will also support the increased use of digital tools, notably the

²⁴ As confirmed by FIRM, the operational arrangement proposed for the access to credit component of the project, entailing an AfDB to Ministry of Finance (MoF) – Development Bank of Ethiopia (DBE) – Microfinance Institutions (MFIs) fund flow based on an on-lending agreement between the MoF and DBE, is in conformity with the Bank's On-Lending Policy (1990).

²⁵ This is to guard against experiences with IDPs and Returnees using business credit for short term household needs

Ethiopian Labour Market Information System (ELMIS), both by MSEs and BDS providers, which will address, among others, market accessibility constraints faced by SMEs. Component 2 consists of 2 sub-components as follow:

26. Sub-component 2.1: Provision of Business Development Services – Customized BDS support, including training and mentoring/coaching, focusing on entrepreneurship, digital BDS access, market linkages and climate-smart business practices, will be provided to the target MSEs as a condition for accessing a loan.

27. Sub-component 2.2: Strengthening the Entrepreneurship eco-system and Expanding Digital Access to BDS–. It will cover provision of refresher trainings for BDS providers to update their skills and enable standardized provision of BDS, technical (training on digitized, gender and climate change responsive entrepreneurship support service delivery) and institutional (IT and office equipment) capacity strengthening Job Centres are government entrepreneurial support units at the ground level closest to the SMEs providing business registration, BDS services and linkages under the Ministry of Labour and Skills.

28. Component 3: Support the Operationalization of Policy Reforms (UA 1.43 million) – This component will support local stakeholder engagements in the preparation and operationalization of sector policy measures, including the Start-up Proclamation, MSME Policy and Employment policy and Entrepreneurship policy under formulation, to address the unique needs of MSEs in disaster affected areas and ensure that project stakeholders are adequately sensitized on new policy instruments.

29. Component 4: Project Management (UA1.46 million) - This component will support the effective coordination, governance, and management of the project.

Table 1: Project component, sub-components and activities

Component/sub-component	Activity
<i>Component 1:</i>	Provide loans to 3,000 targeted youth and women (70% youth (40% male and 30% female) and 30% women led MSEs.
<i>Component 2:</i>	- Undertake entrepreneurship and business management skill training for 4,500 youth and women ((70% youth (40% male and 30% female) and 30% women) micro and small entrepreneurs, including on climate change adaptation tool kits - Provide coaching to 4,500 SMEs youth and women ((70% youth (40% male and 30% female) and 30% women)micro and small entrepreneurs for individual business support
<i>2.1 Provision of Business Development Services</i>	
<i>2.2 Strengthening the Entrepreneurship eco-system and Expanding Digital Access to BDS Services</i>	Organize refresher training for 200 BDS providers Provide Capacity support to 12 Job Centers: - Undertake renovation for prioritized 12 Job centers - Purchase IT and office equipment for 12 Job Centers to support digitization of services - Capacity building support for 75 Job Centers experts on digitized, gender and climate change responsive entrepreneurship support service delivery Provide capacity support to 6 zonal and 12 Woreda jobs creation bureaus: - Training for 120 regional and zonal experts on advanced business development support service provision (Business Environment, Service Delivery Models, gender and climate responsiveness...) - Office and IT equipment support to 5 regional and 5 zonal offices Undertake capacity support to 4 business forums/networks: - Bi-annual networking events of Business forum members for marketing and business partnership - Annual Public-Private Partnerships (PPP) Engagement events - Training on leadership, executive development, corporate Governance Forum Board and committee members of 7 forums/networks
<i>Component 3: Support the Operationalization of Policy Reforms</i>	- Employment Policy formulation validation, publication - Preparation of Employment policy operationalization documents - Policy (Employment policy, MSME strategy, Start-up proclamation) popularization workshop for 600.
<i>Component 4: Project implementation technical Support</i>	- Capacity building for staff - Audit - Project Supervision Project Progress review ; Operation and maintenance

D. Project Cost and Financing Arrangements

30. The estimated total project cost is UA 16.67 million over a period of 4 years. The proposed Bank contribution to the project is UA 15.0 million to be financed from the TSF Pillar 1 (Prevention Envelope). Government counterpart funding is UA 1.67 million (10% of the total project budget).

E. Project's Target Area and Population Beneficiaries and Other Stakeholders

31. The project will be implemented in five regions of Ethiopia that have been severely affected by internal conflict and climate change: Afar, Amhara, Tigray, Benishangul Gumuz and Somali. These regions have experienced significant disruptions to livelihoods and economic activities, leading to increased levels of unemployment, displacement, and vulnerability. The direct beneficiaries of the project are 4500 disaster impacted youth²⁶ and women entrepreneurs,

²⁶ National Policy on Youth in Ethiopia defines youth as people between 15 and 29 years.

including IDPs and Returnees, in these five regions of the country. The project has a target of 60% female and 40% male youth. The project also targets 10% youth and women who are internally displaced persons (IDPs) or returnees. Beneficiary youth and women IDP and Returnee MSE owners will be particularly supported to make effective use of the business development support of the project through continuous coaching and business advisory support.

32. Intermediate beneficiaries are Government and private business development support service providers. About 12 Job Centers of the MoLS will be made fully functional and provided with digital tools to enhance service delivery, and 200 private BDS providers (20% women), prioritized based on their prior experience/track record, will receive contextualized refresher training to improve the relevance and effectiveness of support provided to entrepreneurs. Indirect beneficiaries of the project include, household members of the entrepreneurs not directly engaged in the businesses, suppliers of inputs and services, supply chain actors, users of the products and communities at large. Project Stakeholders include regional Bureaus of TVET and Jobs Creation, Micro-finance institutions (MFIs) to be engaged in delivering access to finance programs and Youth and Women Associations which will be involved in beneficiary targeting and monitoring at grass roots level.

33. Beneficiaries' selection will be guided by clear criteria with provisions for independent verification, accessible grievance mechanisms, public disclosure, and regular audits to ensure fairness and transparency. The Ethiopian Labor Market Information System (ELMIS) developed by MoLS will serve as the main digital platform for beneficiary application, screening, on-boarding and tracking. In order to address possible challenges of digital literacy and connectivity in some target areas, the Job Centers will assist as non-digital entry points for the processing of applications, including screening.

34. The project will use the grievance redress mechanism that is already operational at district level through the Job Creation Councils. These councils are comprised of community leaders, youth and women representatives, and local government officials. They oversee all job creation initiatives, from beneficiary selection to impact evaluation, and formally address complaints regarding targeting and access to project services/resources.

F. Bank Group Experience and Lessons Reflected in Design

35. The design of the project draws extensively from Bank's experience with similar operations, and incorporates lessons learned to ensure a more tailored and context-responsive intervention. Lessons learned from previous projects, such as the Integrated Agro-Industrial Parks Support Project (IAIPSP) and the Productivity Enhancement Support for the Integrated Agro-Industrial Parks and Youth Employment (PESAPYE), South Sudan - Youth Enterprise Development and Capacity Building Project and Agri-MSMEs Development for Jobs (AMD4J), and reflected in the design include the need for i) a tailored financial product that responds to the operational context; ii) a flexible beneficiary targeting mechanism that draws on both digital and non-digital (including CSO supported) targeting approach; iii) a comprehensive business development support component linked to the project's credit provision to promote effective loan utilization and reduce defaults; and iv) a credit facility implementation structure that combines and builds on the strength and track record of both a national policy bank (DBE for national reach and policy guidance) and MFIs (for last mile inclusive disbursement) for effective finance service delivery. The project design has also benefited significantly from insights shared by development partners, including GIZ and UNDP, on the operational context of the target regions and beneficiaries.

3. PROJECT FEASIBILITY

A. Financial and Economic Analysis

36. The primary objective is to improve the recovery and continuity of youth and women led micro and small businesses in disaster impacted areas of Ethiopia for sustainable livelihood and peace through enhanced access to finance, entrepreneurship training, business development services (BDS), and supportive policy frameworks. Due to the largely social nature of the project's outcomes, such as job recovery, enterprise support, and policy reforms, the benefits are not easily quantifiable in monetary terms. Hence, a cost-effectiveness analysis (CEA) was conducted to assess the economic justification of the intervention. The CEA determined the cost per unit of outcome achieved, such as cost per job created or per business supported. Results indicate that the project delivers strong value for money, with unit costs across different outputs demonstrating reasonable expenditure. The overall CEA revealed that the intervention is economically sound, with a cost-effective ratio of UA 1,235.

37. The analysis is based on the following key assumptions: (i) benefits were compared to a baseline (status quo) to estimate the incremental impact; and (ii) the outcomes considered include increased job creation, improved entrepreneurial skills among youth and women, increase in number of people who accessed credit service, increase in number of people provided with BDS training and the expansion of institutional and market linkages. All indicators demonstrated positive cost-effectiveness. Detailed information provided in the Technical Annex 3-1: Economic and Financial Analysis

Additional Positive Effects

38. The project is expected to play a catalytic role in the mobilization of additional resources from development partners and domestic financial institutions for the disaster affected areas of the country and promote the role of the private sector entrepreneurship actors in the rehabilitation and reconstruction efforts of the country. With its focus on youth and women, the project will enhance inclusive development, thus contributing to sustainable peacebuilding in Ethiopia. By restoring livelihoods and fostering community resilience, the project will contribute to economic recovery and social cohesion in conflict-affected areas, leading to a more inclusive and sustainable growth trajectory for the country.

Environmental and Social Safeguards

39. In compliance with in-country environmental assessment systems, legal and institutional frameworks and the Bank's Integrated Safeguards Systems (ISS), Operational Safeguards (OS) that are the key determinants for project's E&S categorization, the Building Resilience of Youth and Women Entrepreneurs in Disaster Affected Areas (BReYWE) project's components, sub-components, and associated activities that will lead to outcomes will trigger: Low-environmental and social risks and impacts and is, therefore, categorized as Low-risk; Category 3 on ISTS and validated in SAP on 3th March 2025.

40. *Environmental and Social Safeguards Compliance:* The project has been classified as a Low-risk category 3. However, should it be necessary to integrate environmental and social concerns in the project at any time or if by any means they are triggered during implementation, the recipients shall ensure that the Agency implementing the activities under the Project shall comply with the Bank's Environmental and Social Safeguards Policies and the national legislation or any other technically and financially feasible and efficient practice acceptable to the Bank's Environmental and Social Risk Categorization.

Climate Change and Green Growth

41. The project has been screened for climate risks using the Bank's Climate Safeguards System (CSS) and is classified as Category 2, indicating moderate vulnerability to the impacts of climate change. Ethiopia, particularly the Afar, Amhara, Tigray, and Somali regions, faces significant challenges from both conflict and climate change. The Somali region, for instance, is grappling with increasingly severe and frequent droughts and flash floods. These climate hazards have significantly impacted livelihoods and micro and small enterprises (MSEs) by causing widespread losses and damage, disrupting supply chains, damaging infrastructure, and reducing consumer purchasing power due to decreased income in agricultural and pastoral communities.

42. Recognizing this critical intersection, the project integrates climate change considerations in its design to build resilient and sustainable livelihoods. Key resilience-building measures include prioritizing climate-sensitive businesses and embedding climate adaptation strategies into business development training, operationalizing climate-resilient toolkits to equip MSEs with climate-smart practices for risk management, continuity, and long-term sustainability. Component 3 will advocate for policy reforms that specifically address the unique needs of MSEs in climate-affected areas, contributing to a supportive institutional environment for resilient entrepreneurship.

43. These integrated measures align with Ethiopia's broader commitment to addressing climate change and directly contribute to the country's national adaptation priorities as articulated in its Nationally Determined Contributions (NDC, updated 2021), the National Adaptation Plan (NAP, 2019), and the Climate Resilient Green Economy (CRGE) Strategy (2011). The project has also been assessed using the Joint MDB Paris Alignment for direct finance methodologies for both mitigation and adaptation, and is considered Paris-aligned as its core activities of supporting the recovery and continuity of youth and women-led micro and small businesses, equipping them with climate-smart practices, and strengthening the entrepreneurship ecosystem to be more resilient to climate shocks, directly enhance adaptation and contribute to a more sustainable, low-carbon development pathway for the country.

C. Other Cross-cutting Priorities

Poverty reduction, Inclusiveness and Job Creation

Investing in Youth, Jobs and Skills

44. Ethiopia's large youth population presents both a challenge and an opportunity for the country. The economy is struggling to absorb the number of youths entering the workforce, including graduates. More than 160,000 students enrol in universities each year, with a comparable number graduating from 51 public universities²⁷. TVET enrolment has been growing with 1,600 TVET providers enrolling around 480,000 students yearly. However, Nineteen percent of youth (27.9 female, 9.8% male) are not in employment, education, or training (NEET) with significantly higher rates among young women (28 vs 10 percent for men)²⁸. Limited access to credit and business services is hindering youth's ability to create their own employment opportunities. Conflict and climate change have exacerbated economic hardships for the youth in many parts of the country, due to their exposure to violence, displacement, and disruptions to livelihoods.

45. The project aims to strengthen job recovery and enterprise resilience, resulting in 9,000 sustained jobs, 60% for women and girls (5,400) and 40% for young men (3,600). Additionally, the project will skill youth with entrepreneurial skills, targeting 4,500 individuals, including 3,150

²⁷ The Reporter December 2022.

²⁸ ILO Youth Country Briefs, 2023

youth (of which 30% are females) and 1,350 women entrepreneurs, to improve business performance and adaptive capacity. The project's focus on promotion of youth self-employment, will address a key driver of fragility in the country, contributing to the prevention of continued cycle of conflict. Through its investment in youth, the project will contribute to Ethiopia's vision of creating a youth population that propels the country further forward toward peace, prosperity, and self-reliance.

46. The project is expected to have a positive impact on poverty reduction due to its focus on inclusive job recovery/creation for a resilient livelihood and sustainable peace. The project's specific targeting of youth, women, IDPs and Returnees contributes to the inclusiveness agenda of the country and the Bank. Furthermore, the promotion of climate-adaptive practices among businesses will contribute to broader community resilience against natural disasters and economic shocks, ensuring more stable livelihoods in the long term.

Opportunities for Building Resilience

47. Ethiopia faces a range of fragility drivers, including political instability, social tensions, economic challenges, and climate change impacts. The regions targeted by the project are among those most affected by internal conflicts, droughts, and floods, which have resulted in widespread displacement, loss of livelihoods, and institutional decline. This situation has contributed to the worsening of the rates of youth and women unemployment and poverty in the disaster-affected areas. Among the most severely affected vulnerable groups are internally displaced persons and returnees who have lost their sources of livelihood. In regions like Tigray, the lack of jobs and employment opportunities has led to outward migration for better opportunities, which sometimes entail risky journeys with life threatening consequences. Through a multi-dimensional entrepreneurship development support, the project seeks to build post-disaster resilience by preventing these drivers of fragility from worsening, potentially contributing to the escalation and/or resurgence of conflict. By reducing poverty and creating jobs for women and youth, the project will prevent outward migration of primary and secondary beneficiaries, and address sentiments of socio-economic exclusion, thereby contributing to social cohesion and peacebuilding. The project will ensure systemic inclusion of vulnerable groups like IDPs and returnees with impacted businesses as project beneficiaries, consistent with Bank's commitment to "Leave No One Behind". Adhering to conflict sensitivity and Do No Harm measures will ensure that the project positively contributes to economic recovery and empowerment in the conflict-affected regions, while helping to prevent the deepening of divisions and tensions.

Gender Equality and Women's Empowerment Promotion

48. The project has been categorized as GEN I on the Bank's Gender Marker System (GMS) as the outputs and outcomes will significantly contribute to women's economic empowerment and the promotion of gender equity and equality. The project is aligned to the Bank's Gender Strategy (2021-2025) across its two pillars: Pillar 1 Empowering women through access to finance; Pillar 2 enhancing employability and job creation for women and young people. **Women-owned businesses in Ethiopia represent a significant portion of the country's informal and formal economic sectors, with an estimated 20-25% of registered small and medium enterprises (SMEs) being led or owned by women.** These businesses are primarily concentrated in trade and commerce, including retail, and market vending, as well as in agriculture, small-scale manufacturing, and service industries like textiles and handicrafts. Women entrepreneurs often face challenges such as limited access to finance, cultural and social norms that restrict mobility and decision-making power, and difficulties in accessing market information and land rights. These challenges are more significant for female youth who often have even less access

to collateral or adequate credit history, are less familiar with traditional banks, and are usually faced with more parental or spousal control.

49. The project provides an opportunity to invest in and support women and youth thereby enhancing inclusiveness and attaining sustainable growth and development. The project will target women led or managed micro and small enterprises with access to finance, trainings provided by BDS, mentoring and coaching. To challenge social norms and promote females in micro and small enterprises, the project will also engage communities and stakeholders in awareness raising events to ensure women and youth participation. The project has a target of 60% women (both adult and young) and 40% male youth. The project will (i) support finalization and operationalization of Gender and social inclusion guidelines; (ii) promote gender mainstreaming capacity building (training) for high level officials, zonal and woreda level officials; and (iii) support JOB CENTERSs to provide information to women and youth entrepreneurs. A Gender and Social Safeguards Officer, under recruitment, will be responsible for the planning, implementation and monitoring of gender targets of the project in co-ordination with the Gender Directorate of the MoLS which collaborates technically with the Ministry of Women and Social Affairs.

4. IMPLEMENTATION

A. Institutional and implementation Arrangements

50. Building on the implementation arrangement of the Agri-MSMEs Development for Jobs (AMD4J) project, which has just fulfilled conditions for first disbursement and is currently initiating operationalization, the Ministry of Labour and Skills (MoLS) is the overall executing agency of the project. Based on the assessment undertaken at appraisal and given the scale of the project, it was concluded that the capacity of the existing PIU is adequate to implement the proposed project. The governance/co-ordination structure of the project relies on the implementation arrangement of the AMD4J and includes a i) Project Implementation Unit (PIU) at MoLS; ii) a Project Management Team (PMT) at DBE; iii) a Project Steering Committee; and entails i) a subsidiary agreement between MoF and DBE; ii) a Financing agreement between DBE and Micro-finance institutions; iii) an MoU between MoLS and DBE and iv) a project implementation manual.

51. *Project Implementation Unit (PIU) in MoLS:* The PIU at MoLS will have the mandate of overall project coordination, including activity planning, reporting and monitoring, and direct responsibility for the implementation of Components 2 and 3 of the project. The PIU is already staffed with (i) a Project Coordinator; (ii) a Procurement Specialist; (iii) Financial Management Officer; (iv) an Accounting Clerk; (v) Monitoring and Evaluation (M&E) specialist; and (vii) a social inclusion and Gender expert. It will consolidate plans and reports to be submitted by DBE.

52. *Project Management team (PMT) in DBE:* The Development Bank of Ethiopia (DBE), which will implement Component 1 – access to finance, has been the Government’s vehicle for the implementation of financial inclusion interventions and has excellent track record on credit lines based on its execution of more than 15 small, micro and medium enterprise support projects funded by development partners. The PMT at DBE is embedded within the External Fund and Credit Management Directorate, which currently manages all donor-funded lines of credit projects. The PMT is made up of its own designated staff and is composed of: (i) a Project Coordinator; (ii) a Procurement Specialist; (iii) a Financial Management Officer; (iv) an Accounting Clerk; and v) an M&E Expert. The PMT will be used to implement the proposed project’s Component 1 and will report to the PIU in MoLS.

53. *Project Steering Committee (PSC):* Chaired by the Minister of MoLS, the PSC will provide

strategic guidance. Members will include the DBE, the Entrepreneurship Development Institute (EDI), as well as private and financial sector representatives. It will meet bi-annually to review the reports, the work plan, and the budget. The Coordinator of the PIU of the MoLS will serve as the secretary to the secretariat.

54. *Subsidiary agreement between MoF and DBE:* This will be a condition for the flow of funds from AfDB to DBE's project designated account for the implementation of Component 1. Components 2, 3 and 4 will be implemented by MoLS and, thus, the fund disbursement is from AfDB to MoLS.

55. *Financing agreement between DBE and Micro-finance institutions:* A financing agreement will be signed between DBE and each of the selected MFIs for the disbursement of the credit to beneficiaries and will outline procedures to be followed, and reflect interest rate and guarantee arrangement to be negotiated taking into account the operational context and beneficiaries (disaster impacted) and project objective (livelihood rebuilding). The signing and operationalization of the agreements will be monitored by the PIU and the PSC.

56. *MoU between MoLS and DBE:* The co-ordination between MoLS and DBE will be streamlined through an MoU that will cover, among others, the required synergy between component 1 and the other components.

57. *The Entrepreneurship Development Institute (EDI) is an autonomous Quasi-Governmental federal institution operating under the auspices of the Ministry of Labour and Skills.* EDI is dedicated to fostering a dynamic and innovative entrepreneurial ecosystem and implements a comprehensive suite of entrepreneurship and innovation support programs, including capacity building, Business Development Services (BDS), and market linkage for MSMEs. In the proposed project, EDI will play the role of the trainer and technical support provider in Component 2 under MoLS based on a Letter of Delegation with MoLS.

58. *Budget flow:* The budget for Component 1 will be transferred directly to DBE designated project account in line with the provisions of the Subsidiary Agreement to be signed between DBE and Ministry of Finance as the Recipient. DBE will use the concessional interest rate²⁹ it usually applies for its support to MSEs. A tailored financial service package that considers i) the nature of the target entrepreneurs (disaster impacted youth and women including IDPs and Returnees); ii) the post-disaster operational context; and iii) the objective of the project (building resilience of target entrepreneurs) will be negotiated between DBE and MFIs. The loan repayment will be channelled back to MoF, which provides financing to DBE to enable, among others, the promotion of financial inclusion (Details in Annex 4-6: Detailed Financial Management and Disbursement Arrangements). As confirmed by FIRM, the operational arrangement proposed for the access to credit component of the project involving AfDB/MoF – DBE – MFI fund flow based on an on-lending agreement between MoF and DBE is in conformity with the Bank's on-lending policy (1990).

59. *In Ethiopia, Microfinance Institutions (MFIs) play a significant role in providing credit to SMEs, often targeting those excluded from traditional banking services.* Micro Finance Institutions heavily rely on group lending which serves as a substitute for traditional collateral and relies on joint liability and social pressure within the group for repayment. Members of the group are incentivized to monitor each other's progress and ensure that everyone adheres to the repayment schedule. MFIs will retain full credit risk over their loan portfolios and retain autonomy over sub-loan terms.

²⁹ This is lower than the minimum lending rate set by the National Bank of Ethiopia (NBE).

60. At regional and sub-regional levels, the Regional Bureaus of Labour and Skills and Job Centers reporting to MoLS will be responsible for the targeting of beneficiaries, implementation, and co-ordination of activities. The five target regions will designate one regional coordinator each in the respective regional Bureaus of Labour and Skills who will be responsible for coordinating the planning, implementation and monitoring of the project activities at regional level using their existing entrepreneurship support capacities and structures. The project will work closely with community-based organizations, including Youth and Women Associations, to support beneficiary targeting and tracking to enhance the transparency, accessibility, and responsiveness of the project Grievance Redress Mechanism.

B. Procurement

61. The PIU already established within the executing agency (MoLS) that is implementing the *Agri-MSMEs Development for Jobs Project* financed by the Bank will implement project procurement for the proposed project. The PIU has a qualified Procurement Expert recruited on competitive basis supporting the existing project and working with overall oversight provided by the Procurement Unit of the Executing Agency. Based on the assessment undertaken at appraisal and given the nature of the project and procurement activities to be undertaken, it was agreed that procurement of goods and rehabilitation works will be undertaken using the Borrower's Procurement System (BPS) while the Bank's Procurement Methods and Procedures will be used for selection of consultants for annual financial audit and procurement audit of the contracts under the BPS. Procurement of goods and small works for the project will be undertaken using the Borrower's procurement system and awarded under OCB and LCB as per the approved procurement plan for project implementation. The EA using the existing PIU has the capacity to implement procurement of goods and contract for rehabilitation works for the project. Based on the previous Procurement Risk Assessments undertaken covering the risks associated with the country, sector and project environment as well as the executing agency and validated during the appraisal of this project, the overall Project Procurement Risk Rating (PPRR) is Moderate. All the same, the Bank will provide oversight on a continuous basis, undertake capacity building and training of PIU team on Bank operations and procurement procedures; monitor implementation of the project procurement plan; and conduct a procurement audit for procurements under BPS.

C. Financial Management, Disbursement, and Audit

62. The Bank conducted a financial management (FM) assessment of the implementing entities, the Ministry of Labour and Skills and the Development Bank of Ethiopia, to evaluate their capacity to manage project funds in accordance with the Bank's *Financial Management Manual and Implementation Guidelines (2014)*. The assessment covered key areas including budgeting, accounting, internal controls, funds flow, financial reporting, and external audit. The assessment concluded that the FM arrangements in place at both MoLS and DBE meet the Bank's minimum requirements and are adequate to provide accurate and timely financial information, with reasonable assurance, on the status of the project. After incorporating agreed mitigation measures, the overall FM risk for entities was rated as "Moderate".

63. The project will adopt the financial management structure established under the AMD4J project. MoLS will utilise its existing PIU, which will be strengthened by hiring/assigning an additional accountant. DBE will rely on its established Project Management Team (PMT) and assigned staff to oversee day-to-day financial activities under the guidance of its Finance Directorate. The Entrepreneurship Development Institute (EDI) will implement specific project components and operate within the MoLS/PIU. Fund disbursements from the Bank to MoLS and DBE will be based on approved work plans and procurement schedules.

64. The project will utilise the existing accounting systems and chart of accounts, with

necessary modifications to enable proper recording and reporting of project transactions. In line with the Bank's requirements, both MoLS and DBE will submit quarterly Interim Financial Reports (IFRs) reflecting receipts and expenditures for their respective project components. These IFRs, using a format agreed upon during project launch, will be submitted within forty-five (45) days after the end of each calendar quarter.

65. Internal audit functions will be strengthened through the use of financial management manuals and periodic internal audits to enhance internal controls and accountability. The Internal Audit Directorates of MoLS and DBE will conduct at least one audit annually. The project will follow Ethiopia's fiscal year, which runs from July 8 and end on July 7 of the subsequent year.

66. Disbursements will follow the Bank's *Disbursement Handbook (March 2020)*. The project will primarily use Direct **Payment** and **Special Account/Revolving Fund** methods. The Special Account will be used for smaller or recurring operating expenses. Both MoLS and DBE will open foreign currency (USD) and local currency (ETB) accounts in the name of the project to receive Bank funds. Other disbursement methods, such as **Reimbursement** and **Reimbursement Guarantee**, may also be used with prior Bank approval. The Bank will issue a *Disbursement Letter* to be discussed and finalised with the Recipient during negotiations.

67. The project will undergo annual external audits based on the Bank's Standard Audit Terms of Reference (TOR). These audits will be conducted either by the Office of the Federal Auditor General (OFAG), its designated appointee, or an independent external audit firm selected competitively. The TOR for the audit will be finalised during negotiations. If OFAG or its designee conducts the audit, the cost will be covered by the Government (excluding eligible reimbursable expenses). If a private audit firm is engaged, the cost will be financed by the project. Two separate audit reports, one for MoLS components and another one for DBE component, will be submitted to the Bank. Each report will be accompanied by a Management Letter that includes responses to audit findings and will be submitted no later than six (6) months after the end of the financial year. The detailed auditing arrangements are included in the Technical Annexe 4-6.

D. Monitoring and Evaluation

68. The project's Results-Based Logical Framework and the indicators will be used to track project progress and produce gender-disaggregated data, with emphasis on results. The project M&E system, supported by the ELMIS, will be aligned to that of the AMD4J project and its PIU, which is already staffed with a qualified Monitoring and Evaluation Officer. An estimated 54% of Component 4 (project management) will be used to cover various monitoring activities, including supervision and progress review processes. Annual and quarterly activity plan and progress reports and twice-a-year supervision missions will be key components of the regular project monitoring process. Participating financial institutions will be required to submit monthly reports on the performance of all the loans in the portfolio. A mid-term (MTR) and a project completion review (PCR) will inform progress towards the project objective. Project stakeholders expected to participate in the monitoring of the project include staff of Jobs Creation Bureaus in the target regions, partner micro-finance institutions, project beneficiaries and staff of partner organizations, including youth and women Associations.

E. Governance

69. The application of Bank procedures governing the procurement of services, financial management, audit and regular Bank's project reporting and supervision process are key elements of the project's governance structure. The Ibrahim Index of African Governance (IIAG) and the Corruption Perception Index (CPI) of Transparency International have reported

improvements in Ethiopia's ratings. Ethiopia scored 48.4 out of 100 in 2024,³⁰ compared to a score of 44 in 2010. Key areas of continued concern include participation, rights and inclusion, as well as security and rule of law. The use of digital platform (ELMIS) for beneficiary application, selection and tracking will enhance accountability and transparency in beneficiary targeting. Government procurement reforms underway, including the rolling-out of e-government procurement and procurement professionalisation, are expected to contribute to the improvement of overall public procurement environment risk. While federal as well as regional Government stakeholders have the necessary experience and track record for implementing the project, low staff salaries and subsequent frequent staff turnover are persistent challenges.

F. Sustainability

70. The sustainability of the project is underpinned by i) the Government of Ethiopia's demonstrated commitment to fostering resilient livelihoods and promoting youth and women-led enterprises (policy); ii) use of existing government structures and processes (institutions); iii) project's investment in the entrepreneurship-enabling environment and stakeholder institutions; iv) skills building/capacity strengthening interventions (capacity) and v) participation of private sector networks and service providers (BDS trainers). The project's use of existing public and private sector entrepreneurship financing and business development support capacities will integrate project processes within existing structures/processes rather than creating new ones, thereby enhancing ownership and sustainability. The business skills development/capacity building will also help build strong enterprises who will continue to grow even after the closure of the project. Financially, the Ministry of Finance is responsible for allocating funds to DBE to support the DBE's role in enhancing financial access to enterprises. Thus, the repayment of the loans will eventually support project's objective.

G. Risk Management

71. The project is likely to face several risks, including political instability, security risks in the target areas, governance challenges and macroeconomic volatility. Annex 4-2 presents the risks identified and mitigation measures proposed. To mitigate the mentioned risks, the project will ensure i) careful planning and execution of implementation support missions that consider and adapt to the security situation; ii) continued, regular, and strategic communication between government counterparts and the Bank; and iii) adequate monitoring of project progress as well as the operational context.

H. Knowledge Building

72. The implementation of this project is expected to contribute to the generation of valuable knowledge on the role of youth and women led SMEs in the promotion of sustainable livelihoods and community resilience in conflict and climate change affected areas. The transfer of knowledge and information under the various capacity strengthening activities will enhance the capacity of institutions and the sustainability of reform actions within the entrepreneurship ecosystem. Moreover, the Bank will capture and disseminate knowledge and experience from this project through regular sharing of outcomes through various Bank wide knowledge sharing platforms.

5. LEGAL INSTRUMENTS AND AUTHORITY

A. Legal Instrument

³⁰ Mo Ibrahim Governance Index 2024.

73. The legal instrument for the Project is a TSF Pillar I Protocol of Agreement amongst the Federal Democratic Republic of Ethiopia (the "Recipient"), the African Development Bank (the "Bank") and the African Development Fund (the "Fund") (the Bank and the Fund together) as administrators of the Transition Support Facility ("TSF") for an amount not exceeding UA 15 million (the "Grant Agreement").

B. Conditions Associated with Bank's Intervention

74. **Condition Precedent to Entry into Force.** The Grant Agreement shall enter into force upon signature by the Parties.

75. **Condition Precedent to First Disbursement of the Grant.** The obligation of the Bank to make the first disbursement of the Grant shall be subject to entry into force of the Grant Agreement and the fulfilment of by the Recipient, in form and substance satisfactory to the Fund, of the following conditions :

- a) submission of evidence of the execution and delivery of a Subsidiary Agreement between the Recipient and the Development Bank of Ethiopia DBE;
- b) submission of evidence of the designation of the following staff to the Project Implementation Unit (PIU) (i) a Project Coordinator; (ii) a Procurement Specialist; (iii) Financial Management Officer; (iv) an Accounting Clerk; (v) Monitoring and Evaluation (M&E) specialist; and (vii) a Gender and Social inclusion Officer with qualifications and terms of reference acceptable to the Bank.
- c) submission of evidence of designation of the following staff to the Project Management Team (PMT) at the DBE with qualifications and terms of reference acceptable to the Fund: (i) a Project Coordinator, (ii) a Procurement Specialist, (iii) Financial Management Officer.

C. Compliance with Bank Group Policies

- ☒ This project complies with all applicable Bank policies.
- ☐ There are exceptions to Bank policies.

African Development Bank Group Independent Recourse Mechanism

76. **Communities and individuals who believe that they are adversely affected by an African Development Bank Group (AfDB) supported project may submit complaints to existing project-level grievance redress mechanisms or the AfDB's Independent Recourse Mechanism (IRM).** The IRM ensures project affected communities and individuals may submit their complaint to the AfDB's Independent Recourse Mechanism which determines whether harm occurred, or could occur, because of AfDB non-compliance with its policies and procedures. To submit a complaint or request further information please contact: IRM@afdb.org or, visit the IRM website www.irm.afdb.org. Complaints may be submitted at any time after concerns have been brought directly to the AfDB's attention, and Bank Management has been given an opportunity to respond before reaching out to the IRM.

6. RECOMMENDATION

77. Management recommends that the Boards of Directors approve the proposed TSF Pillar 1 grant of **UA 15 million** to the Federal Democratic Republic of Ethiopia for the purposes and subject to the conditions stipulated in this report.

7. Results Framework

RESULTS FRAMEWORK						
A	PROJECT INFORMATION					
PROJECT NAME AND SAP CODE: Ethiopia: Building Resilience of Youth and Women Entrepreneurs in Disaster Affected Areas. SAP CODE: P-ET-I00-009			COUNTRY/REGION: Ethiopia/RDGE			
PROJECT DEVELOPMENT OBJECTIVE: Improve the recovery and continuity of youth and women led micro and small businesses in disaster impacted areas of Ethiopia for sustainable livelihood and peace						
ALIGNMENT INDICATOR (S): Employment of population (%) (women/ youth), Africa Gender Index						
B	RESULTS MATRIX					
RESULTS CHAIN AND INDICATOR DESCRIPTION		RMF/ADOA INDICATOR	UNIT OF MEASUREMENT	BASELINE 2025	TARGET AT COMPLETION 2029	MEANS OF VERIFICATION
OUTCOME STATEMENT 1: Jobs recovery and creation promoted						
OUTCOME INDICATOR 1.1 Direct jobs supported ³¹ , including 60% for women and girls and 40% for young male.		✓	Number	0	9000 ³² (5400 female and 3600 male)	Jobs Creation Report by MoLS
OUTCOME STATEMENT 2: Recovery and resilience of youth and women led enterprises supported						
OUTCOME INDICATOR 2.1: Micro and small enterprises supported with access to finance		✓	Number	0	3000 (1200 male youth; 1800 female led)	Enterprise Support Report by MoLS
OUTCOME INDICATOR 2.2 People reached by the project (disaggregated by sex/youth/ IDP/Returnees)		✓	Number	0	4500 (10% youth and women IDPs/Returnees; 60% female; 40% male youth))	Beneficiary coverage Project Progress report by MoLS
COMPONENT 1: Access to Finance						
OUTPUT STATEMENT 1: Business recovery credit provided to disaster impacted youth and women entrepreneurs						
OUTPUT INDICATOR 1.1.1: People who accessed credit service (60% female 40% male youth)		□	Number	0	4500 ³³ (1800 male youth and 2700 female)	Partner MFIs’ portfolio report
Output indicator 1.1.3: Volume of credit disbursed to target SMEs (% of which to females)			USD\$	0	12 million (7.2 million female led)	Partner MFIs’ portfolio report,
Component 2: Enhanced Entrepreneurship Ecosystem Support & Business Development Services Delivery						
OUTPUT STATEMENT 1: Tailored Business Development Services Provided						
OUTPUT INDICATOR 2.1.1: People provided with BDS training, including gender and climate adaptation tool kit (60% female;40% male youth)		✓	Number	0	4500 (1800 male youth, 2700	Training report;

³¹In line with AfDB's definition, direct jobs created refers to the number of employment positions recovered/supported in the enterprises targeted by the project.

³² It is estimated that in Ethiopia micro-enterprises provide annual average employment of minimum 5–7. (*The role of micro, small and medium enterprises (MSMEs) to the sustainable development of sub-Saharan Africa and its challenges: a systematic review of evidence from Ethiopia, Journal of Innovation and Entrepreneurship*, (2022). The target for the project is lower taking in to account the context (post disaster) and stage of business development (90% micro enterprises).

³³Based on assumption that each SME is owned by 1.5 youth/women to allow for co-owning.

				female	
Output Indicator 2.1.2 People provided with mentoring and coaching (60% female;40% male youth		Number	0	4500 (1800 male youth (and 2700 female	BDS providers' report
OUTPUT STATEMENT 2.2: Institutional support for entrepreneurship eco-system recovery and strength provided					
Output Indicator 2.2.1 Job Centers made fully functional and utilizing digital tools to deliver services		Number	0	12	ELMIS report; Job Centers status report
Output Indicator 2.2.2. Private BDS providers provided with contextualized refresher training (20% women)		Number	0	200 (40 women)	Training report
Output Indicator 2.2.3 Business forums supported		Number	0	4	List of Business forums
Component 3: Support the Development and Operationalization of Policy Reforms					
OUTPUT STATEMENT 3.1 Disaster responsiveness of sector policy measures enhanced					
Output Indicator 3.1.1 Policy measures supported		Number	0	3	Policy documents
Output Indicator 3.1.2 People participating in the stakeholder engagement events organized (disaggregated by women/youth)		Number	0	600 (300 female and 300 male youth	List of participants and event reports

8. ENVIRONMENTAL AND SOCIAL COMPLIANCE NOTE (ESCON)

A. Basic Information³⁴		
Project Title: Building Resilience of Youth and Women Entrepreneurs in Disaster Affected Areas (BRyWE)		Project SAP or TFMS code: P-ET-I00 - 009
Country: Ethiopia	Region: RDGE	Lending Instrument: Project Finance Loan/Grant
Project Sector Unit: Social Development		Task Team Leader(s): Mulumebet MERHATSIDK, Nonduduzo NDLOVU
Appraisal dates: April 28 – May 2, 2025		Estimated Approval Date: October 23, 2025
Environmental Safeguards Officer: xx		
Social Safeguards Officer: Kingsley Ejim		
Environmental and Social Category: Category 3	Operation type: Public Sector Operation	Financial Intermediary: No
Categorization date: February 28, 2025	Categorization in ISTS: March 3, 2025	Categorization in SAP: March 3, 2025
Is this project processed under rapid responses to crises and emergencies?		No
Is this project processed under a waiver to Integrated Safeguards System (ISS) requirement(s)?		No
B. Disclosure and Compliance Monitoring		
B.1 Mandatory disclosure		
Environmental Assessment/Audit/System/Others: [specify including number]		
Was/Were the document (s) disclosed <i>prior to appraisal</i> ?		NA.
Date of "in-country" disclosure by the borrower/client		Click to Set the date
Date of receipt, by the Bank, of the authorization to disclose		Click to Set the date
Date of disclosure by the Bank		Click to Set the date
Resettlement Action Plan (RAP) ³⁵ : [specify including number]		
Was/Were the document (s) disclosed <i>prior to appraisal</i> ?		NA.
Date of "in-country" disclosure by the borrower/client		Click to Set the date
Date of receipt, by the Bank, of the authorization to disclose		Click to Set the date
Date of disclosure by the Bank		Click to Set the date
Stakeholder Engagement Plan (SEP): [specify including number]		
Was/Were the document (s) disclosed <i>prior to appraisal</i> ?		NA.
Date of "in-country" disclosure by the borrower/client		Click to Set the date
Date of receipt, by the Bank, of the authorization to disclose		Click to Set the date
Date of disclosure by the Bank		Click to Set the date
Pest or Vector Management Plan (PMP/VMP): [specify including number]		
Was/Were the document (s) disclosed <i>prior to appraisal</i> ?		NA.
Date of "in-country" disclosure by the borrower/client		Click to Set the date
Date of receipt, by the Bank, of the authorization to disclose		Click to Set the date
Date of disclosure by the Bank		Click to Set the date
Vulnerable Peoples Plan (VPP): [specify including number]		
Was the document disclosed <i>prior to appraisal</i> ?		NA.
Date of "in-country" disclosure by the borrower/client		Click to Set the date
Date of receipt, by the Bank, of the authorization to disclose		Click to Set the date
Date of disclosure by the Bank		Click to Set the date
Riparian Communities Participation Plan (RCPP): [specify including number]		
Was the document disclosed <i>prior to appraisal</i> ?		NA.
Date of "in-country" disclosure by the borrower/client		Click to Set the date
Date of receipt, by the Bank, of the authorization to disclose		Click to Set the date
Date of disclosure by the Bank		Click to Set the date
Emergency Preparedness & Response Plan (EPRP): [specify including number]		
Was the document disclosed <i>prior to appraisal</i> ?		NA.
Date of "in-country" disclosure by the borrower/client		Click to Set the date
Date of receipt, by the Bank, of the authorization to disclose		Click to Set the date
Date of disclosure by the Bank		Click to Set the date
Hazardous/Medical Waste Management Plan (HWMP): [specify including number]		
Was the document disclosed <i>prior to appraisal</i> ?		NA.

³⁴ Note: This ESCON shall be appended to project appraisal reports/documents before Senior Management and/or Board approvals.

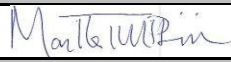
³⁵ Including Livelihood Restoration Plan

Date of "in-country" disclosure by the borrower/client	Click to Set the date
Date of receipt, by the Bank, of the authorization to disclose	Click to Set the date
Date of disclosure by the Bank	Click to Set the date
Riparian notification:	
Was the document disclosed <i>prior to appraisal</i> ?	NA.
Date of "in-country" disclosure by the borrower/client	Click to Set the date
Date of receipt, by the Bank, of the authorization to disclose	Click to Set the date
Date of disclosure by the Bank	Click to Set the date
Environmental and Social Management Plan (ESMP) of the financing agreement³⁶	
Was the document disclosed <i>prior to appraisal</i> ?	NA.
Date of "in-country" disclosure by the borrower/client	Click to Set the date
Date of receipt, by the Bank, of the authorization to disclose	Click to Set the date
Date of disclosure by the Bank	Click to Set the date
If in-country disclosure of any of the above documents is not expected, as per the country's legislation, please explain why: NA.	
B.2. Compliance monitoring indicators	
Have satisfactory calendar, budget and clear institutional responsibilities been prepared for the implementation of measures related to safeguard policies?	NA.
Have costs related to environmental and social measures, including for the running of the grievance redress mechanism been included in the project cost?	NA.
Is the total amount for the full implementation for the Resettlement of affected people, as integrated in the project costs, effectively mobilized, and secured? ³⁷	NA.
Does the Monitoring and Evaluation system of the project include the monitoring of safeguard impacts and measures related to safeguard policies?	NA.
Have satisfactory implementation arrangements been agreed with the borrower and the same been adequately reflected in the project legal documents?	NA.

Clearance

Is the project compliant with the Bank's environmental and social safeguards requirements, and can be submitted to Approval?

Yes

Prepared by	Name	Signature	Date
Environmental Safeguards Officer:	xx		Click or tap to enter a date.
Social Safeguards Officer:	Kingsley Ejim		June 3, 2025
Task Team Leader:	Mulumebet MERHATSIDK, Nonduduzo NDLOVU		June 3, 2025
Submitted by			
Sector Director:	Martha T.M. PHIRI		June 25, 2025
Cleared by			
Director SNSC:	Maman-Sani ISSA		June 26, 2025

³⁶ As referred to in section III.2.3 of the Bank's Environmental and Social Policy (ESP)

³⁷ In case a resettlement action plan (RAP) is not required although ESIA is/are disclosed, attached the image/picture/photo of the area/site/landscape to evidence that it is free of any encumbrance (simple statement or letter from the borrower does not suffice), in addition to the statement by the borrower that it is a public-owne

